Gold rush, safe from getting trumpled

Investors **seeking** a **safe haven** from Donald Trump's economic policies have pushed gold over the $3,000 barrier. The **bullion rally** is being fed by stock market **volatility**, rising inflation expectations and **easing** interest rates. But it's being **driven** principally by central bank purchases to reduce **exposure** of reserves to dollar **volatility**. Investment and institutional demand for gold will remain strong till financial markets **stabilise**. These components are **offset** by **slackening** retail demand and a **disinclination** in the trade to **hold on to** high-cost inventory. Jewellery demand in Asia, the biggest geography for retail sales, faces the dual effect of **spike** in gold prices and an **appreciating** dollar. Off-season imports are being **squeezed**, which **lends** support to Asian central banks' attempts to stabilise their currencies.

The gold rally doesn't seem to be **running out of breath**. US Fed is **anticipated** to cut interest rates twice this year. The US government's borrowing programme will guide response by central banks on buying more gold. Economic uncertainty will increase as more of Trump's tariff policies are implemented. Downside risk to gold prices is **unwinding** of unusually large **speculative** long positions in the **futures market**. But fundamental forces driving the rally are strong enough to **counteract** a possible decline in speculative trade.

For India, **plateauing** of gold imports provides some **cushion** to its **trade deficit** that is expected to widen over export uncertainty. Import duties on jewellery have been lowered to revive retail demand for gold. Factors feeding gold's recent spike are likely to intensify by the time India enters its festival buying season. Squeeze on retail demand and on jewellery exports may need more policy support. RBI will have its gold-buying **trajectory** decided by the risk of **revaluation** loss if US treasuries rise, as well as by the strengthening dollar. But its gold reserve plans are not **overly** aggressive, as the country is not actively seeking to **de-dollarise** trade. [Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denote 'subject' and 'blue' denote 'verb'.

Vocabulary

1. **Trumpled** (adjective) – Overwhelmed, Crushed, Defeated, Dominated, Overpowered कुचला हुआ
2. **Seek** (verb) – Search, Pursue, Look for, Aim, Strive तलाश करना
3. **Safe haven** (noun) – Refuge, Shelter, Sanctuary, Retreat, Protection सुरक्षित स्थान
4. **Bullion** (noun) – Gold bars, Precious metal, Gold reserves, Metal ingots, Gold stock सोने की ईंट
5. **Rally** (noun) – Surge, Rise, Increase, Recovery, Upswing तेजी
6. **Volatility** (noun) – Instability, Fluctuation, Uncertainty, Unpredictability, Turbulence अस्थिरता
7. **Stabilise** (verb) – Balance, Steady, Settle, Normalize, Secure स्थिर करना
8. **Offset** (verb) – Counterbalance, Compensate, Neutralize, Counteract, Balance भरपाई करना
9. **Slacken** (verb) – Weaken, Reduce, Decrease, Loosen, Slow down ढीला करना
10. **Disinclination** (noun) – Reluctance, Unwillingness, Hesitation, Resistance, Aversion अनिच्छा
11. **Hold on to** (phrase) – Retain, Keep, Cling, Maintain, Preserve पकड़े रहना
12. **Spike** (noun) – Surge, Increase, Rise, Jump, Peak तेज वृद्धि
13. **Appreciating** (adjective) – Rising, Increasing, Strengthening, Growing, Gaining मजबूत होना
14. **Squeeze** (verb) – Compress, Tighten, Constrict, Press, Crush दबाव डालना
15. **Lend** (verb) – Provide, Offer, Give, Contribute, Supply देना
16. **Run out of breath** (phrase) – Exhaust, Tire, Deplete, Lose momentum, Falter थक जाना
17. **Anticipate** (verb) – Expect, Predict, Foresee, Await, Forecast अनुमान लगाना
18. **Downside risk** (noun) – Potential loss, Negative outcome, Threat, Hazard, Vulnerability जोखिम
19. **Unwind** (verb) – Relax, Reverse, Undo, Unravel, Release खोलना

20. **Speculative** (adjective) – Risky, Uncertain, Hypothetical, Theoretical, Experimental अटकलबाजी

21. **Future market** (noun) – an auction market in which participants buy and sell commodity and futures contracts for delivery on a specified future date. वायदा बाजार

22. **Counteract** (verb) – Neutralize, Offset, Counterbalance, Combat, Resist प्रतिकार करना

23. **Plateauing** (noun) – Leveling off, Stabilization, Flattening, Stagnation, Pausing स्थिर होना

24. **Cushion** (noun) – Buffer, Protection, Safeguard, Support, Pad सहारा

25. **Trade deficit** (noun) – A trade deficit occurs when a country imports more goods and services than it exports, resulting in a negative balance of trade. व्यापार घाटा

26. **Duty** (noun) – Tax, Levy, Tariff, Charge, Impost शुल्क

27. **Trajectory** (noun) – Path, Course, Direction, Route, Trend प्रक्षेपवक्र

28. **Revaluation** (noun) – Reassessment, Reappraisal, Re-estimation, Recalculation, Review पुनर्मूल्यांकन

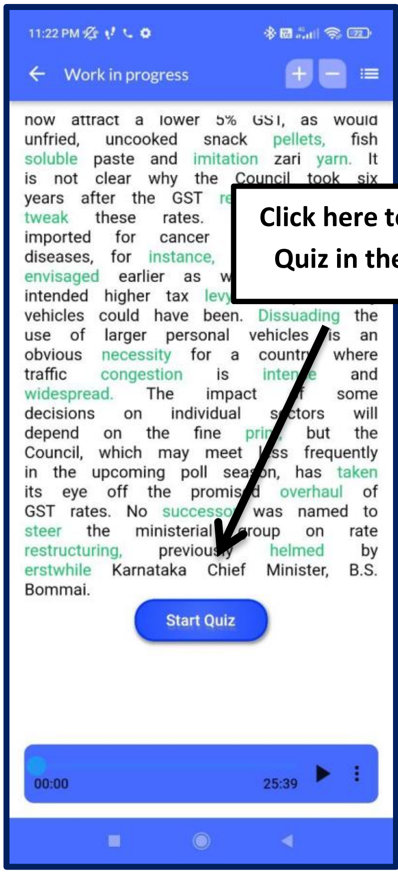
29. **Overly** (adverb) – Excessively, Unduly, Extremely, Unnecessarily, Abnormally अत्यधिक

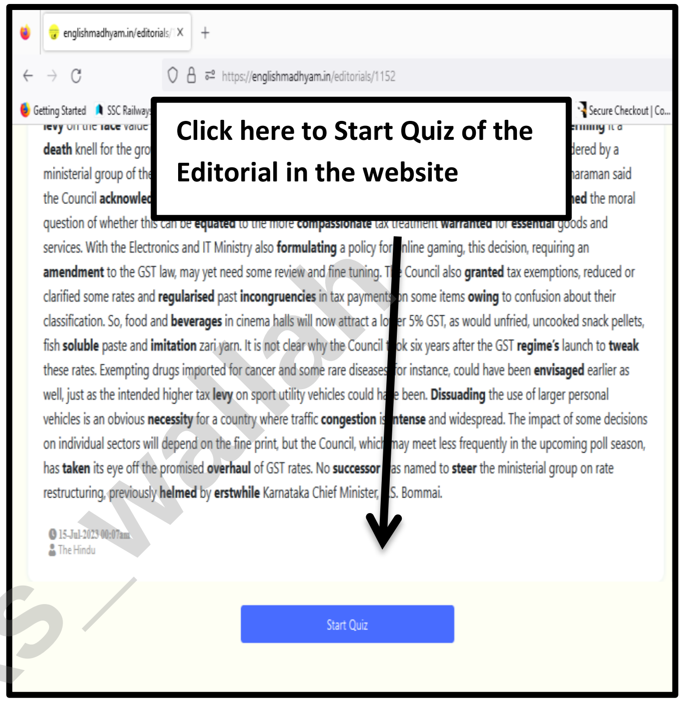
30. **De-dollarise** (verb) – a significant reduction in the use of the U.S. dollar in world trade and financial transactions डॉलर से मुक्त करना

Summary of the Editorial

1. Investors are turning to gold as a safe haven amid economic uncertainty caused by Donald Trump's policies, pushing gold prices above $3,000.
2. The gold rally is fueled by stock market volatility, rising inflation expectations, and easing interest rates.
3. Central bank purchases to reduce exposure to dollar volatility are a key driver of the gold rally.
4. Investment and institutional demand for gold is expected to remain strong until financial markets stabilize.
5. Retail demand for gold is weakening, and traders are reluctant to hold high-cost inventory.
6. In Asia, the largest market for gold jewellery, demand is dampened by rising gold prices and a stronger dollar.
7. Off-season gold imports in Asia are declining, supporting central banks' efforts to stabilize their currencies.
8. The gold rally is likely to continue, with the US Federal Reserve expected to cut interest rates twice this year.
9. Central banks' gold-buying decisions will be influenced by the US government's borrowing program.
10. Economic uncertainty is expected to grow as more of Trump's tariff policies are implemented.
11. A potential downside risk to gold prices is the unwinding of large speculative long positions in the futures market.
12. India's gold imports have plateaued, providing some relief to its widening trade deficit.
13. India has lowered import duties on jewellery to boost retail gold demand.
14. Factors driving gold's price spike may intensify during India's festival buying season, requiring policy support to address weak retail demand and jewellery exports.
15. The RBI's gold-buying strategy will balance the risk of revaluation losses from rising US treasuries and a stronger dollar, without aggressively pursuing de-dollarisation.

Practice Exercise: SSC Pattern Based





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